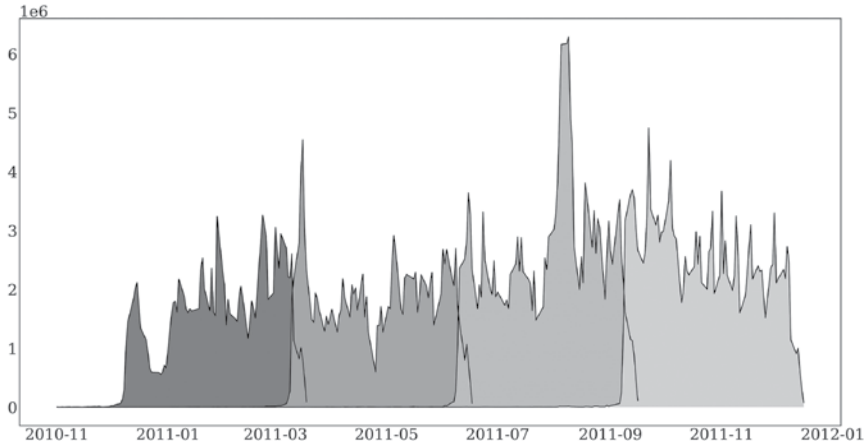

FIGURE 2.2 **Volume spiking at rollover time.**

theory stay with it all the way until it expires, but as you can see in these figures, very few people ever do that. If your desire is to maintain your position in the underlying asset, in this case, the S&P Index, you will want to have control over your rollover and buy one month and sell the other at the same time, so that you don't have any open price risk between closing one contract and opening the other or vice versa.

What you need is a clear method for when to switch from one contract to another and a notification of when you need to do the rollover. Common methods are to use the volume, the open interest or both in combination and then roll when a new contract has higher open interest and/or volume. Some prefer to require a couple of consecutive days or higher values before rolling, whereas some roll on the first day one contract exceeds another. In the end, this does not make a huge difference as long as you make sure you stay with a highly liquid contract and are aware of how and when to roll.

Term Structure

The term structure, or yield curve, of a futures market refers to the shape of the curve you get if you plot the price of each successive delivery month in a graph, such as in the heating oil example in Figure 2.3 and Table 2.1. The price of an asset to be delivered in one month is generally quite different from the price of the same asset to be delivered in six months and the overview graph of how these prices change for different delivery dates is called the term structure.